11. (C) With the expected return of the body of former priest and close collaborator of former President Aristide, Gerard Jean-Juste, on June 16 and planned Senate election run-offs on June 21, Haiti is approaching a politically sensitive period. A more visible and active engagement by Preval may be critical to resolving the issue of the minimum wage and its protest "spin-off'' – or risk the political environment spiraling out of control.

Created: Jun 17, 2009
SUBJECT: HAITIAN PRESIDENT'S DECISION ON MINIMUM WAGE LAW

1. (SBU) Summary: Haitian President Rene Preval, after intensive discussion with private sector and parliamentary representatives, plans to return the minimum wage law to Parliament with a proposal to modify the bill with a phased-in wage increase for the assembly sector. A 200 Haitian gourde (HTG) minimum salary would be applied to the local commercial and non-textile industrial sectors. The minimum wage law author expressed dissatisfaction with Preval's decision and is not convinced that the wage increase proposed in the bill, as currently written, would significantly damage economic growth or force job cuts. End Summary.

2. (SBU) Following several days of meetings at the National Palace, President Rene Preval reached a compromise with industry representatives and some members of Parliament that would avoid a blow to the assembly/textile sector in Haiti. Industry representatives, led by the Association of Haitian Industry (ADIH), objected to the immediate HTG 130 (USD 3.25) per day wage increase in the assembly sector, saying it would devastate the industry and negatively impact the benefits of the Haitian Hemispheric through Opportunity Partnership Encouragement Act (HOPE II). Recent ADIH and USAID funded studies on the impact of near tripling of the minimum wage on the textile sector found that an HTG 200 Haitian gourde minimum wage would make the sector economically unviable and consequently force factories to shut down.

3. (C) President Preval is expected to return the bill to Parliament with objections on June 17 or 18. Preval's Economic Advisor Gabriel Verret (protect) told Embassy representatives on June 13 that Preval had brokered a deal with Parliament members. ADIH President Georges Sassine told Econ/Poloff June 16 that Preval would propose the following modifications to the bill, applicable to the assembly sector only: an increase of from HTG 70 to HTG 100 in October 2009, a further increase to HTG 125 by October 2010 and then to HTG 150 by October 2011 (Note: Preval